Financial Results

This financial review and analysis should be read in conjunction with the consolidated financial statements and related notes included on pages 11 to 20 of this annual report.

Sales:
Sales for the year of $678.3 million increased 23% from $553.7 million last year, reflecting increased sales across all product lines, and the impact of the acquisition of Multi-Marques in October 2001. Excluding Multi-Marques, sales increased by 8% for the year.

Earnings from Operations:
Earnings from operations were $36.4 million, an increase of 48% from $24.7 million last year. This earnings increase reflected strong sales and improved margins due to cost reductions and improved sales mix. The earnings of Multi-Marques were consolidated from the fourth quarter and contributed to the increase in earnings. In addition to these factors, sales to Maple Leaf Bakery in the U.S. increased significantly, adding to profitability.

Other Income:
Other income decreased from $1.9 million in 2000 to $1.3 million in 2001. The Company's share of earnings from its 25% investment in Multi-Marques of $1.4 million (2000 – $1.9 million) was equity accounted and included in Other Income until October 12, 2001, when the remaining 75% of the shares were purchased, from which date the operations of Multi-Marques are consolidated.

Taxation:
The Company's effective tax rate increased to 41.9% in 2001 compared to 28.8% in 2000, primarily due to the effect of a tax benefit of $2.8 million recorded in the fourth quarter last year. *The Company's income tax expense is discussed in note 12 to the consolidated financial statements.*

Acquisition of Multi-Marques:
On October 12, 2001, the Company purchased the remaining 75% of the shares in Multi-Marques, for total consideration of $136 million, including acquisition costs of $4.2 million. As a result of the acquisition, the Company now has a 60% investment in Ben's Limited located in Atlantic Canada. Details of assets and liabilities acquired are set out in note 15 to the consolidated financial statements. As a result of a Competition Bureau review of the transaction, the Company has agreed to sell a portion of its foodservice business in Atlantic Canada within 12 months. This requirement will not have a material financial impact on the overall sales or financial performance of the combined business. The Company has not yet completed the determination of fair values of the individual assets and liabilities acquired, or its restructuring and integration plans for the operations acquired. Accordingly, the allocation of the purchase cost to the assets and liabilities acquired is preliminary and will change as restructuring plans are finalized. No restructuring costs have been accrued in the preliminary purchase accounting included in these financial statements. To the extent that these plans result in the restructuring of any existing Canada Bread operations, the cost of such restructuring will be charged to earnings in the relevant period in 2002.

Cash Flows:
Cash flow from operating activities of $94.6 million represented a significant increase from $25.7 million in 2000. The improvement was largely due to improvements in earnings, proceeds of $28 million from the sale of additional accounts receivable, a large dividend received from Multi-Marques prior to acquiring the company, and reduced investment in working capital.

During the year, the Company invested $11.7 million in capital assets, compared to $7.8 million last year. This level of investment is expected to increase due to the acquisition of Multi-Marques.

Liquidity and Capital Resources:

Canada Bread finances its normal operating activities primarily out of cash flow from operations. In addition, to provide the Company with further liquidity and to finance acquisitions, the Company and its subsidiaries have several credit facilities with major Canadian banks. The Company established a $130 million revolving debt facility in 2001. Of this amount $20 million is a committed four-year revolving facility which, at the option of the lenders, is extendible annually, and if not extended, would be converted into a revolving term facility, maturing in 2005. The remaining $110 million is a revolving/reducing term facility maturing in 2005. As at December 31, 2001, $36 million was drawn under this facility (including drawings of $6 million in respect of letters of credit).

The Company, through Multi-Marques, has a $6.6 million credit facility with a Canadian Chartered Bank that is subject to annual renewal at the option of the lender. This facility was fully drawn at year-end. Through 60%-owned Ben's Limited, the Company has several other facilities with Canadian banks and Government agencies, with maturities that range from 2002 to 2007. At year-end, $8.3 million was drawn under these facilities.

Under revolving securitization programs, the Company has sold, with limited recourse, accounts receivable to a financial institution. At December 31, 2001, trade accounts receivable amounting to $48 million (2000 – $20 million) had been sold under these programs.

Management is of the opinion that current sources of funding provide the Company with sufficient liquidity to finance ongoing business requirements and its planned capital expenditure program.

Dividends:

Dividends paid in 2001 equaled $0.24 per share (2000 – $0.24), resulting in cash payments of $5.1 million (2000 – $5.1 million).

Risk Management:

The Company has financial risk exposure to varying degrees relating to interest rates, foreign exchange and commodity pricing. The cost of flour, which represents a large component of the Company's raw material costs, is directly impacted by fluctuations in wheat prices. The Company manages its exposure to fluctuating flour prices through the use of forward purchase contracts.

Canada Bread also manages its exposure to interest rates by the use of interest rate derivative contracts, while foreign exchange currency contracts are used to fix exchange rates on export sales and expenditures denominated in foreign currencies. *Information on the Company's use of derivative products and its year-end position is set out in note 7 to the consolidated financial statements.*

Environment:

Canada Bread is conscious of its responsibility to the environment and operates within an overall environmental policy that has been formally approved by the Board of Directors. The Board of Directors monitors compliance on a regular basis. The Company's emphasis on the environment extends to the operations of its plants and the impact of these operations on air and water quality, the handling of toxic and dangerous chemicals and the use of packaging. The Company strives to exceed required environmental compliance and to provide a safe workplace for its employees. Resources, training and capital are directed to these areas to ensure that the Company continues to meet its responsibilities. The Company is in material compliance with existing environmental legislation. Expenditures relating to current environmental requirements are not expected to have a material effect on the financial position or earnings of the Company.

Related Party Transactions:

Maple Leaf Foods Inc. and its subsidiary, Maple Leaf Foods USA Inc., provide certain management and other services to Canada Bread. The Company's Audit Committee reviews these arrangements on a regular basis. *See note 14 to the consolidated financial statements for further details.*

Change in Accounting Policies:

(i) Hedging relationships

The CICA issued Accounting Guideline AcG-13 which establishes criteria for hedge accounting effective for the Company's 2003 fiscal year. The Company is currently assessing the impact of this new accounting pronouncement.

(ii) Business combinations and goodwill

In September 2001, the CICA issued Handbook Sections 1581 "Business Combinations" and 3062 "Goodwill and Other Intangible Assets". The new standards require the purchase method of accounting for business combinations and require that goodwill no longer be amortized but instead be tested for impairment at least annually. The standards also require that specified intangible assets be recognized and reported apart from goodwill.

In accordance with the new standards, effective July 1, 2001, goodwill arising from business combinations completed after June 30, 2001 was not amortized.

Upon full adoption of the standards beginning January 1, 2002, the Company will discontinue amortization of all existing goodwill, evaluate existing intangible assets and make any necessary reclassifications in order to conform with the new criteria for recognition of intangible assets apart from goodwill and will test for impairment in accordance with the new standards.

In connection with the Section 3062 transitional goodwill impairment evaluation, the Company is required to assess whether goodwill is impaired as of January 1, 2002. The Company has up to six months to determine the fair value of its reporting units and compare that to the reporting units' carrying amounts. To the extent a reporting unit's carrying amount exceeds its fair value, the Company must perform a second step to measure the amount of impairment in a manner similar to a purchase price allocation. This second step is to be completed no later than December 31, 2002. Any transitional impairment would be recognized as an effect of a change in accounting principle and will be charged to opening retained earnings as of January 1, 2002.

Quarterly Financial Information

The following is a summary of unaudited quarterly financial information for the two years ended December 31, 2001 and 2000 :

(millions of dollars, except per share amounts)	1st Qtr. 2001	2nd Qtr. 2001	3rd Qtr. 2001	4th Qtr. 2001	Total 2001
Sales	137.0	147.9	155.0	238.4	678.3
Net earnings	3.3	3.8	6.4	7.4	20.9
Net earnings per share	$ 0.16	$ 0.17	$ 0.30	$ 0.34	$ 0.97

	1st Qtr. 2000	2nd Qtr. 2000	3rd Qtr. 2000	4th Qtr. 2000	Total 2000
Sales	130.8	139.2	144.0	139.7	553.7
Net earnings	2.3	3.1	4.4	7.4	17.2
Net earnings per share	$ 0.11	$ 0.14	$ 0.21	$ 0.34	$ 0.80

Management's Statement of Responsibility

Management recognizes its responsibility for conducting the Company's affairs in the best interests of all of its shareholders. The consolidated financial statements and related information in the annual report are the responsibility of the management. The consolidated financial statements have been prepared in accordance with Canadian generally accepted accounting principles which involve the use of judgment and estimates in applying the accounting principles selected. Other financial information in the annual report is consistent with that in the consolidated financial statements.

The Company maintains systems of internal controls which are designed to provide reasonable assurance that accounting records are reliable and to safeguard the Company's assets. The Company's independent auditors, KPMG LLP, Chartered Accountants, have audited and reported on the Company's consolidated financial statements. Their opinion is based upon audits conducted by them in accordance with Canadian generally accepted auditing standards to obtain reasonable assurance that the consolidated financial statements are free of material misstatement.

The Audit Committee of the Board of Directors, all of whom are independent of the Company or any of its affiliates, meets periodically with the independent external auditors, the internal auditors and management representatives to review the internal accounting controls, the consolidated quarterly and annual financial statements and other financial reporting matters. Both the internal and independent external auditors have unrestricted access to the Audit Committee. The Audit Committee reports its findings and makes recommendations to the Board of Directors.

Roger M. Dickhout
President and
Chief Executive Officer

Michael H. Vels
Chief Financial Officer

Steve Weinberger
Senior Vice-President,
Finance

Auditors' Report

We have audited the consolidated balance sheets of Canada Bread Company, Limited as at December 31, 2001 and 2000 and the consolidated statements of earnings, retained earnings and cash flows for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with Canadian generally accepted auditing standards. Those standards require that we plan and perform an audit to obtain reasonable assurance whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation.

In our opinion, these consolidated financial statements present fairly, in all material respects, the financial position of the Company as at December 31, 2001 and 2000 and the results of its operations and its cash flows for the years then ended in accordance with Canadian generally accepted accounting principles.

KPMG LLP

Chartered Accountants

Toronto, Canada,
February 8, 2002